Wise Growth Analytics Report

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Key Contents

Data Overview

- Data Structure: Four key columns within the dataset
- Data converted to standard data format
- Negative Values analysed separately
- Data Integrity checks
- The data has been separated into two cohorts: 1998-2004 and 2019-2022.
- For the analysis, I have looked at 2019-2022 data largely as the previous cohort only had 5k transactions which were quite a long time ago.

Number of Transactions	507,900
Negative Transactions	5,168
Unique Customers	1,234

Exploratory Data Analysis

Insights

- Skewed Distribution
- Negative Transactions
- Typical Range: <500, outliers >1000
- Revenue Impact

Recommendations

- Offer tiered pricing/premium services for transactions > 1,000 to retain high-value clients.
- Analyse negative transactions for causes, add validation to prevent errors.
- Promote small transactions (< 500) to boost volume for Sole Traders/Retail.
- Refine fraud detection using outlier insights.

Industry-wise Transaction Analysis

Industries

- Finance
- Crypto
- Technology
- Sole Trader
- Consulting
- Retail
- Healthcare
- Other

Recommendations

- Focus marketing and product offerings on high value industries like Crypto and Finance, providing features like bulk transfers, lower fees for large transactions.
- Offer incentives like loyalty discounts or streamlined payment processes for industries with smaller, frequent transactions (e.g., Sole Trader, Retail) to boost retention.
- Identify industry-specific needs (e.g., compliance in Finance, scalability in Crypto) and develop targeted solutions to address them.

Time Series Analysis

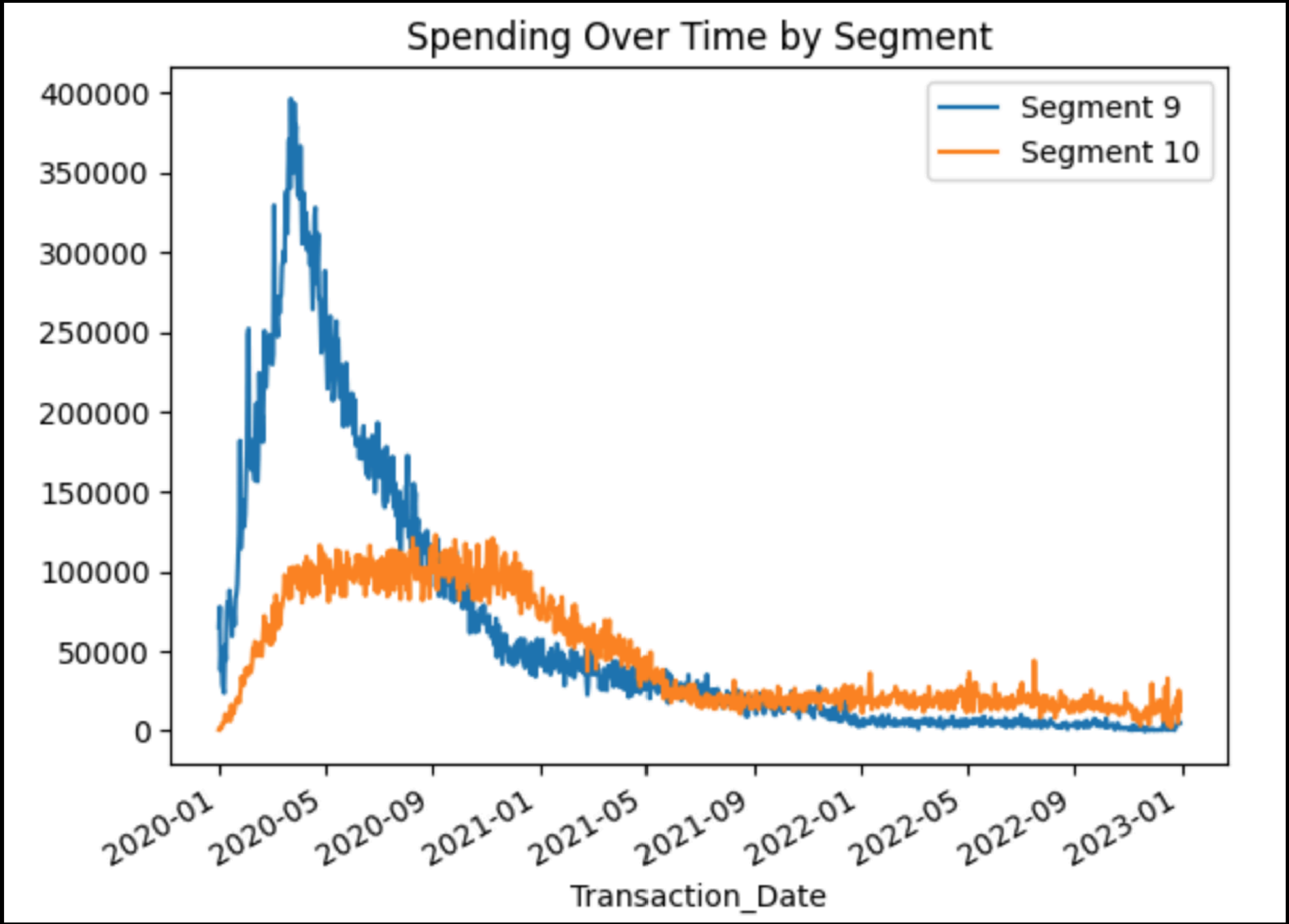
Recommendations

- Launch reactivation campaigns using targeted messaging, incentives, or product updates tailored to lapsed user segments.
- Analyze what worked in 2020 (e.g., campaigns, product-market fit, external factors like COVID-19 digital acceleration) and try to replicate or adapt those strategies to current conditions.
- Investigate the causes of the sharp drop post 2020 peak e.g., changes in market conditions, product performance, or customer behavior. Re-engagement campaigns or feature revamps may be necessary to reignite growth.

Receny, Frequency, Monetary Segmentation

- Champions (RFM Score 9-12)
  - These are the most valueable customers who must be retained with loyalty programs, offers and referral incentives.
  - A few champions have low monetary value.
  - On average a champion does a transaction every 178 days.
- Potential Loyalists (RFM Score 6-8)
  - They are moderately engaged with high potential to move to Champions with targeted promotions and crosselling/upselling products.
- At Risk Customers (RFM Score 4-5)
  - They have to be re-engaged with win-back campaigns and time-limited offers.
- Lost Customers (RFM Score 3)
  - To attempt reactivation, provide compelling incentives and review past behavior to improve retention.

Customer Value vs Frequency



Anomaly Detection within RFM Segmetation

Cohort Analysis

- Wise’s onboarding in 1998 was effective, but sustaining engagement beyond month 1 is critical. Older cohorts retain better long-term but grow slowly in new customer acquisiton.
- Recent cohorts exibit rapid customer drop-off within a year, signalling a need for a robost short-term retention strategy.
- Prioritize retention strategies to curb short-term churn in newer cohorts while sustaining engagement with long-term customers.
- Significant differences in customer retention across industries underscore the need for tailored strategies to address each sector’s unique challenges and optimize retention.
- Crypto’s limited presence in the earlier cohorts of 1998-2004 but it’s exponential growth in 2019-2022 indicates growth and high potential. Marketing strategies focused on retaining Crypto customers will prove successful.
- Prioritize Finance and Technology for retention as they are likely to drive higher amount transactions.

Churn Analysis

- Redesign Early Customer Experience: With ~20% churn in the first three months, strengthening onboarding and aligning customer expectations early is critical to reducing early attrition.

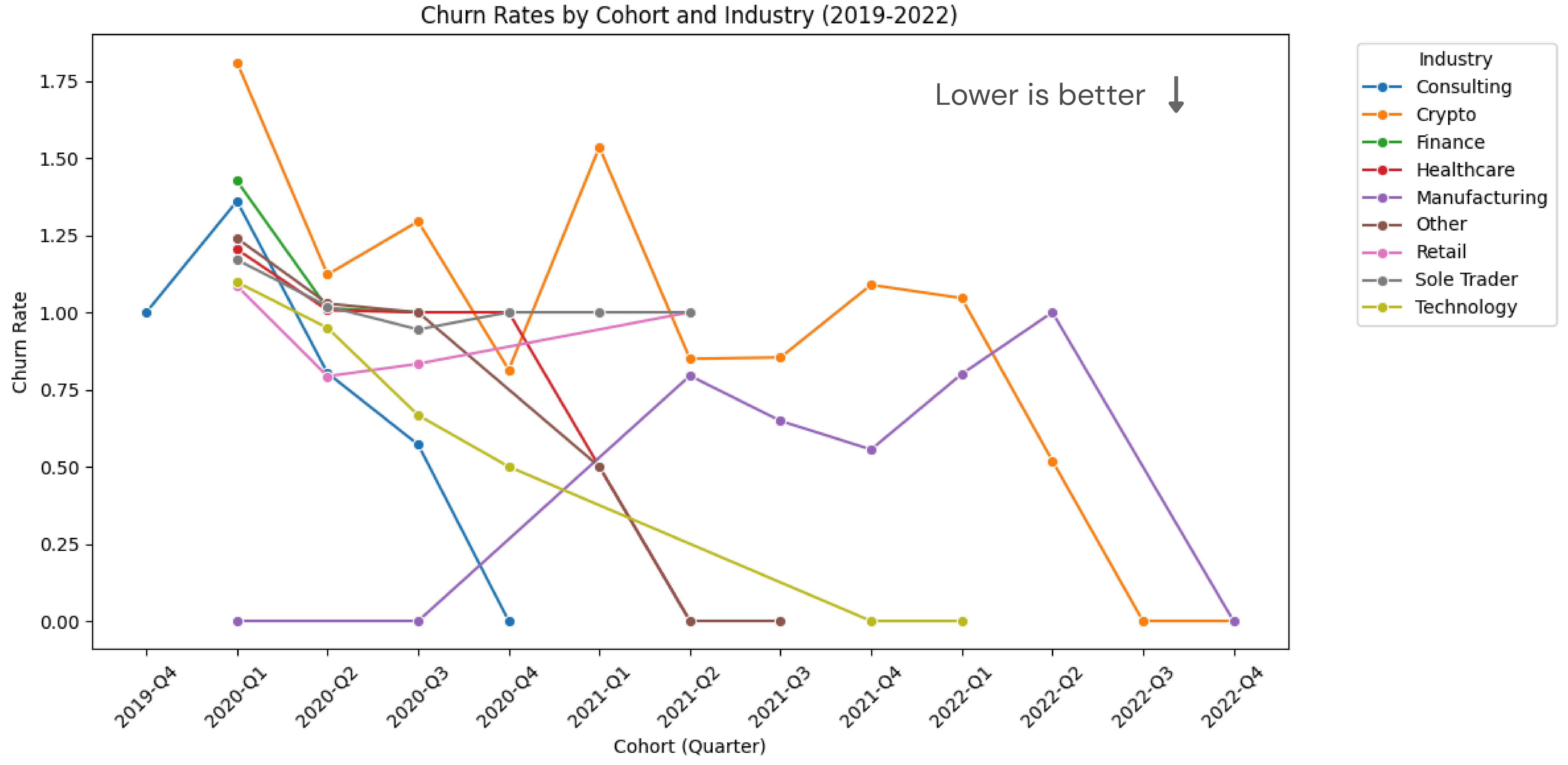
- Invest in Sustained Engagement: Post-onboarding retention plateaus at low levels, highlighting the need for more robust lifecycle marketing, proactive CRM programs, and value reinforcement to drive longer-term loyalty.

- Refocus Marketing Strategy on Quality over Quantity: A 74.6% drop in new customer acquisition suggests marketing efforts must prioritize attracting higher-intent prospects through optimized brand awareness and conversion strategies.

- Double Down on Industry-Specific Growth Opportunities: Targeted acquisition efforts, such as in the manufacturing sector, have demonstrated strong results and should be expanded to other high-potential industries for scalable growth.

- Customize Retention Approaches by Industry: Given the wide variance in retention across sectors, a one-size-fits-all model is ineffective; industry-tailored retention and engagement strategies are essential.

Churn Rates by Cohort and Industry



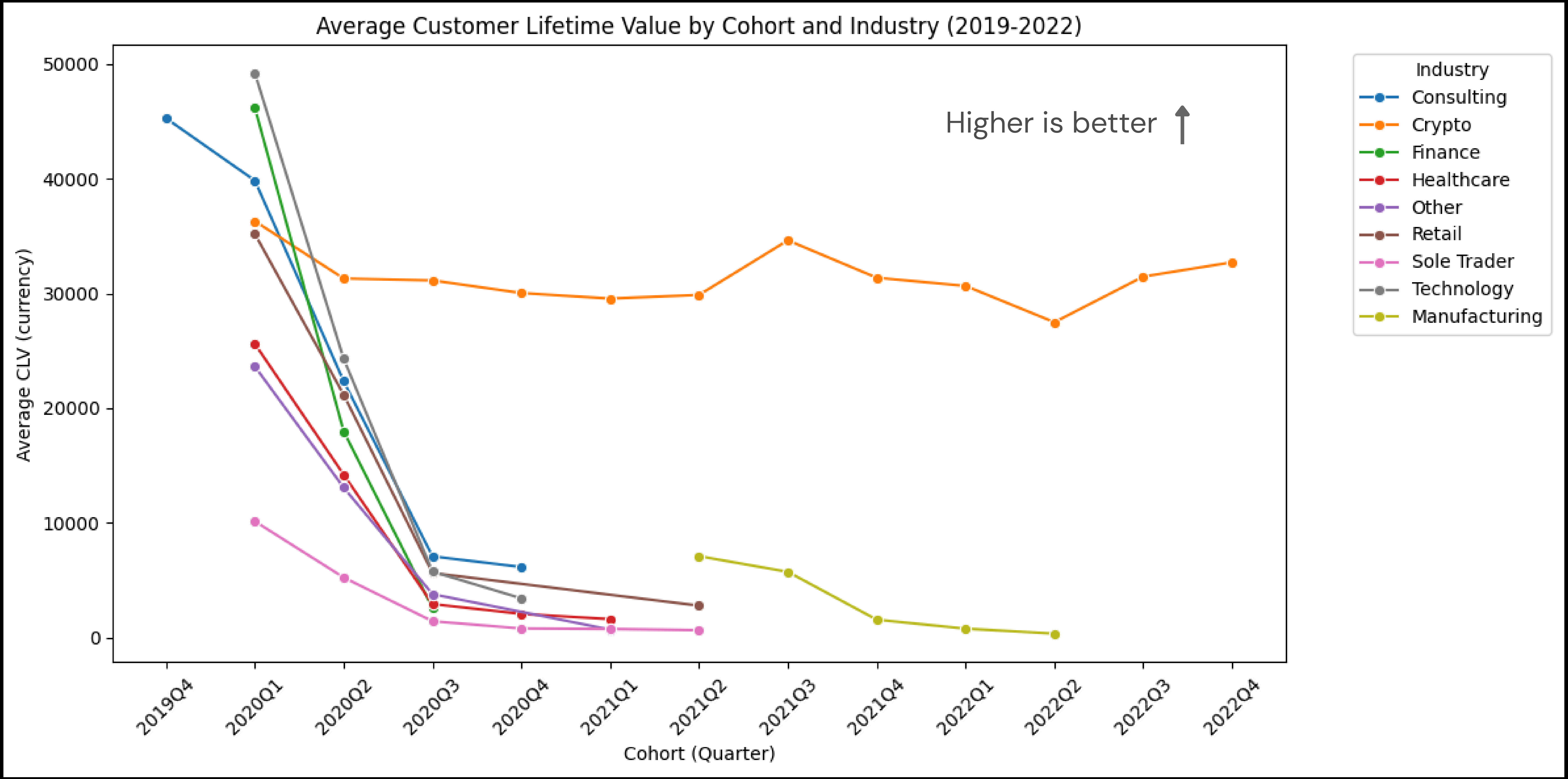
Customer Lifetime Value Analysis

- Target High-Value Industries
  - Technology & Finance: Boost acquisition/retention with premium offerings (e.g., tech upgrades, financial packages).
  - Consulting: Launch January campaigns for high-CLV customers (e.g., discounted packages).

- Optimize Low-Value Segments
  - Sole Trader: Limit acquisition; focus on upselling or reassess targeting.
  - Manufacturing: Enhance post-January retention post-2021 Q2 success (e.g., B2B support, discounts).

- Capitalize on Seasonal Peaks
  - January: Acquire finance, consulting, manufacturing customers (e.g., financing ads).
  - December: Promote technology, retail for CLV growth (e.g., subscriptions, discounts).
  - Timing: Align campaigns with peak seasons.

Avg Customer Lifetime Value by Cohort & Industry



Average Order Value Analysis

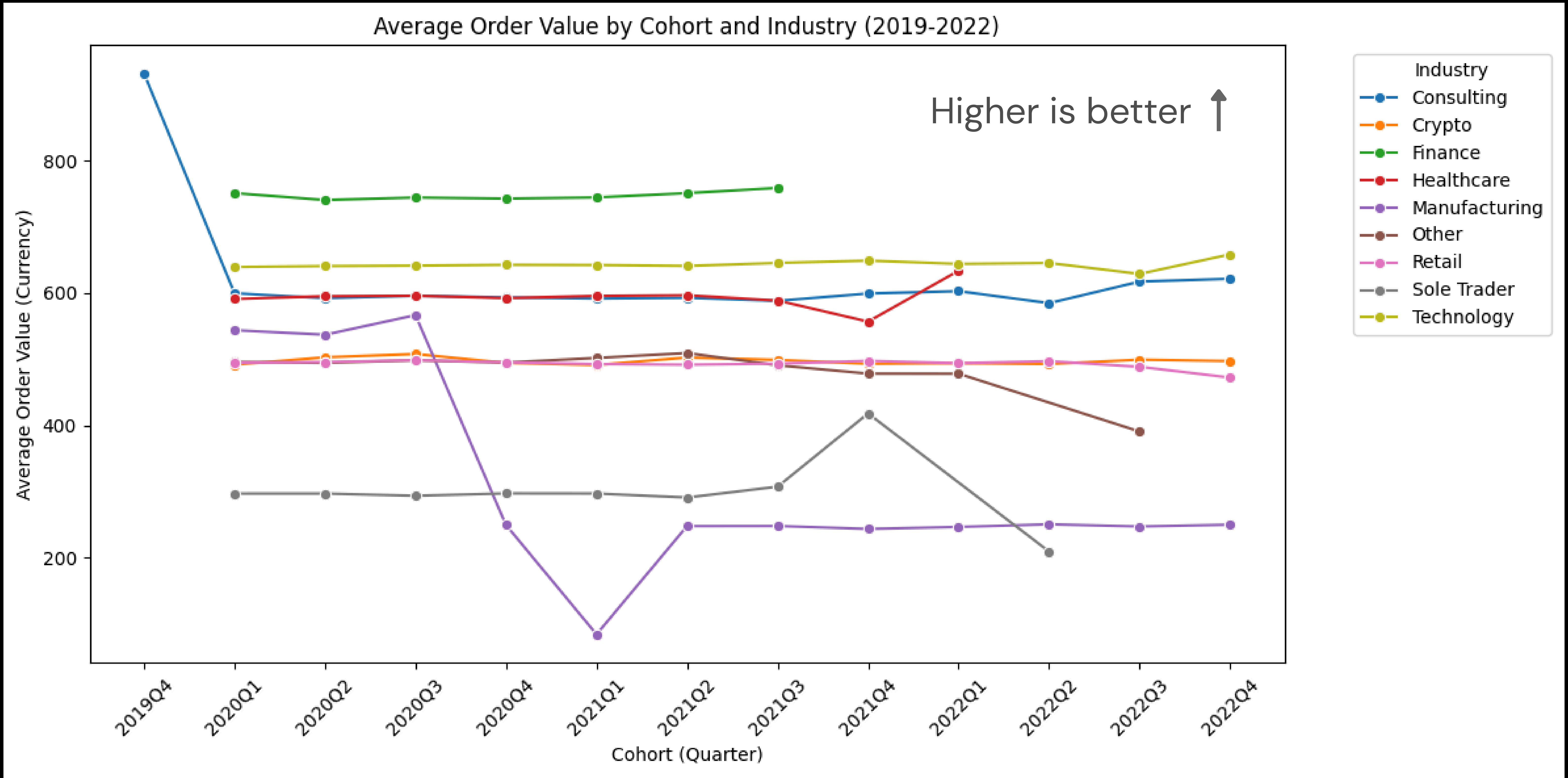
- Focus on High-AOV Industries
  - Finance & Technology: Prioritize acquisition and retention with premium offerings to sustain high AOV (e.g., financial advisory services, tech upgrades).
  - Consulting: Target January campaigns to capture high-AOV customers (e.g., bundled consulting packages).

- Improve Low-AOV Segments
  - Sole Trader: Reduce acquisition spend; focus on upselling to increase order sizes (e.g., bundled services).
  - Manufacturing: Enhance post-January retention post-2021Q2 success with incentives to boost AOV (e.g., volume discounts, tailored B2B offers).

- Use RFM to target low-AOV cohorts with incentives to increase order sizes (e.g., 10% off next purchase).

- Optimize campaigns for peak seasons to maximize order value.

Avg Order Value by Cohort and Industry



Seasonality Detection

- Seasonal Acquisition
  - January: Target finance, consulting, manufacturing with budget-driven campaigns (e.g., consulting ads, financing offers).
  - December: Focus on retail, technology with holiday promotions (e.g., retail discounts, tech subscriptions).
  - Manufacturing: Leverage January for acquisition, building on May 2021 success.

- Post-Peak Retention:
  - Post January: Retain finance/consulting customers in Q2 with loyalty offers (e.g., discounts, check-ins).
  - Post-December: Re-engage retail/technology customers in Q1 with promotions .
  - At Risk: Use RFM to target high-season At Risk Customers with win-back offers.
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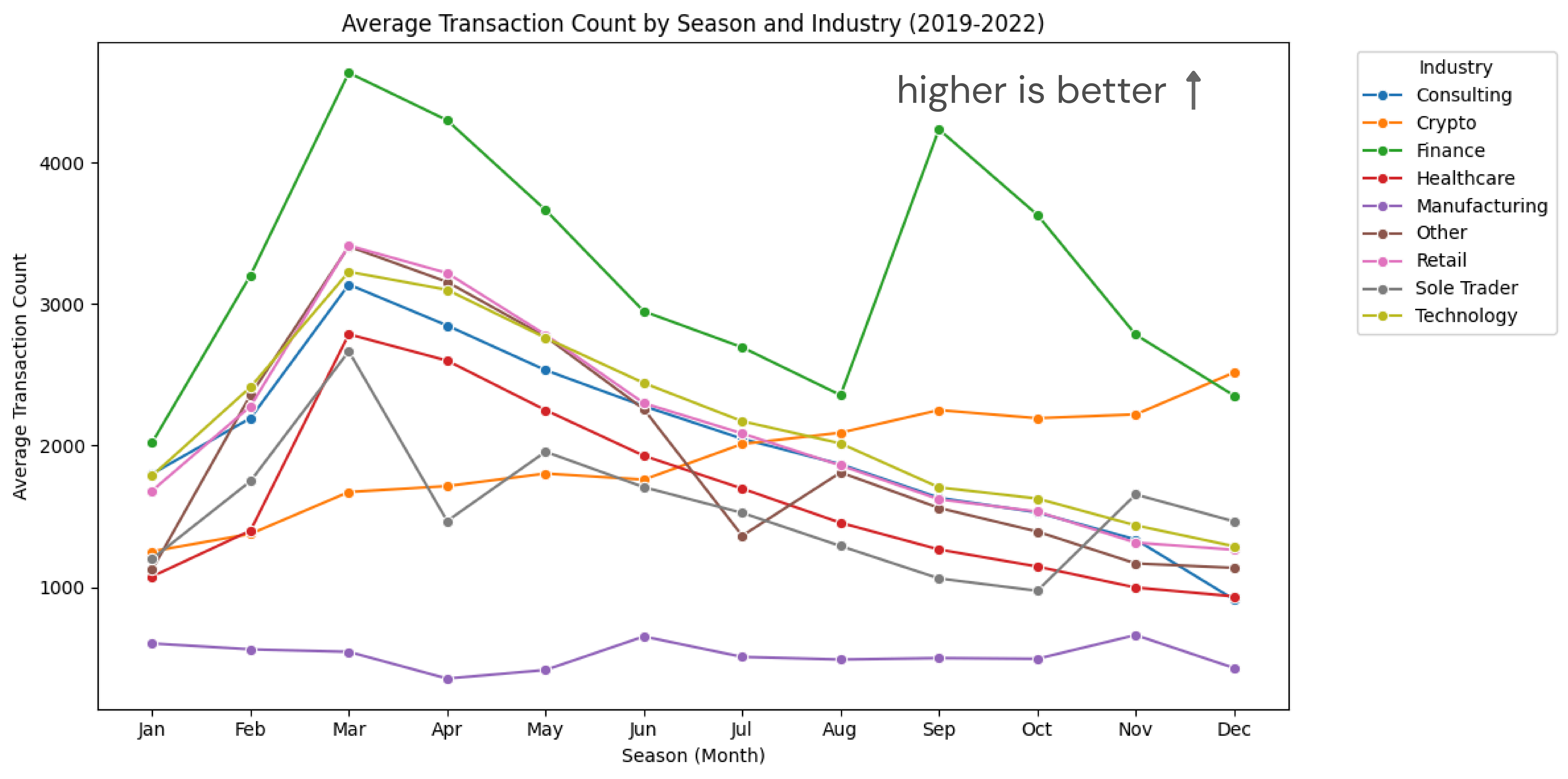
- Industry-Specific StrategiesFinance/Consulting: Early-year promotions for planning cycles
  - Retail: Holiday-themed December campaigns with loyalty rewards.
  - Technology: December upgrades/subscriptions with Q1 support.
  - Manufacturing: January B2B outreach with tailored solutions.

Avg Transaction Count by Season and industry



Why these Methods?

- Exploratory Data Analysis: Critical to understand data structure, detect anomalies and validate assumptions before advanced analysis.
- Transaction Analysis: Provided foundational insights into revenue trends, high-value industries & payment patterns.
- Time Series Analysis: To detect cyclical patterns that could inform cash-flow planning.
- RFM Segmentation: Leveraging business logic to directly target High-Value-Low-Recency customers with reactivation campaigns.
- Churn Analysis: Using churn to reveal why customers are leaving and fixing the reasons to help meet business KPIs.

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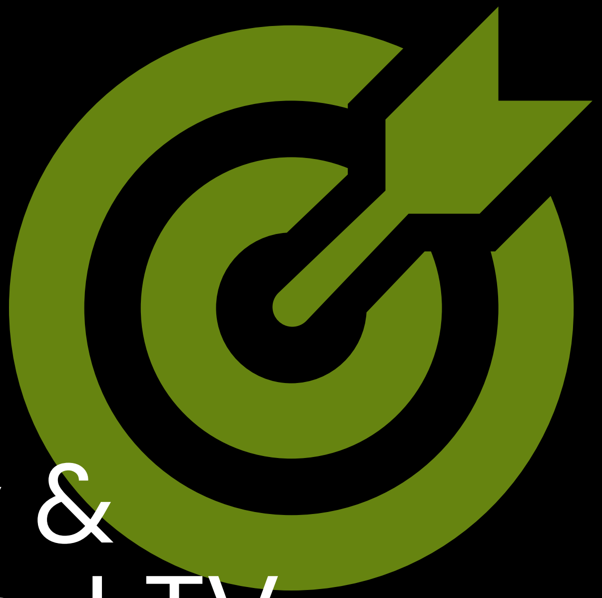

- Churn Analysis: defined churn heuristically & focused on descriptive metrics to flag at-risk customers.

- CLV Analysis: based on observed transaction frequency & monetary value providing a baseline for segmenting high-LTV customers.

- AOV Analysis: paired with industry data, it revealed which customer segments drove volume vs high ticket transactions which are key for pricing optimization.

- Seasonality Detection: Industries affected by seasonal holidays and detecting varied performance over the years.

Limitations & Next Steps

- Limited dataset
- Lack of Churn Labels
- Struggle with sparse dimensionality
- Lack of Revenue or Margin data
- Potential Time-Period Bias

- Predictive Modelling with Richer Data
- Profitability based CLV with Revenue Data
- Advanced segmentation with Behavioral Data
- Causal Impact Analysis with A/B Test data
- Customer Journey Mapping with Touchpoint Data

Thank You

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